

THE CRITIQUE OF COMMODITY-RESERVE CURRENCY A POINT-BY-POINT REPLY

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IN THIS answer to the article¹ by Messrs. Beale, Kennedy, and Winn, I shall refrain from general comment, except in a brief conclusion. My purpose is to state fairly each one of their objections and either to admit its force or to try to rebut it. It appears best to discuss the various criticisms schematically, in their relation to the claimed advantages of the commodity-reserve proposal.

1. The first benefit asserted is that the commodity-reservoir system will go far to prevent the paradox of want amid plenty by providing an unlimited market at a fair average price for basic commodities as a whole. The expanded purchasing power of the raw-materials producers will greatly stimulate other sectors of the economy.

About this "basic objective" the critique has little to say. It characterizes this "depression-insurance feature" as perhaps the most attractive of the plan; but it suggests that a greater stimulus to general business could be secured "by a selective expenditure program"—e.g., on public works. This preference is stated merely as a matter of opinion, without supporting data or argument. Nothing is said as to the economic and political drawbacks of deficit financing or as to the great difficulties of timing and allocation associated with pump-priming. The severe business reaction of 1937-38 bears testimony to the problems involved. It is easy to stimulate business if the cost is not to be counted—as in war; but this fact alone does not make the case for government spending. (Incidentally, both a suitable public works program and a commodity

reservoir may prove useful in maintaining full employment.)

2. We claim that the commodity reservoir will constitute an invaluable national asset, useful in emergencies (especially war), for old age pension reserves, and for advancing the living standard.

The critique refers to this claim in three scattered passages: (a) It is intimated that the commodity reserves might all be drawn out in a business upswing; (b) the storage of a number of monetary commodities is called "an alarming and disheartening thought" in view of our experience with gold; (c) the possibility of using up the reserve commodities in an emergency is viewed as removing the very protection a monetary reserve is designed to afford.

Taking the last point first, it is obvious that the potential use of the reserve commodities in an emergency cannot possibly be a net disadvantage. If that were so, we should leave them where they are. The option to use them or not must be an advantage; in a war of survival it might be of overwhelming benefit. (England's gold reserve gave her the same kind of advantage in the early years of the war—but only because we were willing to ship commodities in exchange for her gold.)

If it were true that the reserve is likely to be exhausted in good times (by redemption of currency), the plan would operate discontinuously—as, e.g., in the case of a buffer stock of tin. Its effectiveness would be unlimited during declining business, but it might terminate at some point in a boom. We have argued that the commodity reservoir is likely to grow secularly unless special efforts are made to hold it down. The critique does not discuss this point, but its "alarm" at the thought of our gold reserve

¹ W. T. M. Beale, Jr., M. T. Kennedy, and W. J. Winn, "Commodity Reserve Currency: A Critique," this *Journal*, L, No. 4 (August, 1942), 579-94.

being imitated by the commodity reserve indicates a similar expectation that the reservoir will grow to large size. Hence, the fear of temporary exhaustion does not appear very realistic.

Would a large supply of reserve commodities be as "disheartening" as our huge accumulation of gold? The objection to our gold hoard is that at bottom it is so useless, especially in wartime. Far from being disheartening, the possession of \$22 billion in corn, iron, wool, petroleum, etc., would now be a godsend and possibly our salvation.

3. We contend that the plan will stabilize the price level of basic commodities as a whole and thereby operate powerfully toward stabilizing the general price level.

This assertion is correctly presented at the outset of the critique, but the authors then proceed to argue against an alleged claim that "the proposed plan will guarantee stable prices"—i.e., stable prices for everything. Since we make no such pretension, the point need not be pursued.

The critique also seeks to cast doubt on the value of the proposal as a generally stabilizing influence in other price groups—even though it does admit that by preventing a drop in basic commodities, such as in the 1930's, it would "moderate somewhat" the general price decline. It points out that security speculation and real estate booms could not be prevented by our plan. This is true, and I have insisted that extremes in these fields must be avoided by the proper exercise of the Federal Reserve's present powers to control credit.

More seriously, the authors assert that the "commodity currency will contribute to price stability only to the extent that prices of goods outside the unit followed a pattern identical with those in the unit" (p. 587). Surely this stricture goes too far. The Bureau of Labor Statistics data show that important price movements of fabricated goods are invariably blanketed by those of raw materials. The critique advances no reason to doubt our assertion that, if the wide cyclical swings of basic commodities

are eliminated, then the swings of finished-goods prices—normally much narrower—will be damped down considerably. This would be even more true of the swings in the price of services (e.g., rents), which are more sluggish than those of goods.

The critique argues that secular price movements will still take place, since the cost and price of other goods may advance vis-à-vis the stabilized unit. Thus the general level, which includes the rising items, will also rise. This possibility will be freely granted as long as it is realized that such price changes are bound to be moderate and nondisturbing. We see no reason to put the whole price level in a straitjacket, and much less to freeze all individual prices. We do say it is essential to hold price fluctuations within tolerable bounds—i.e., to avoid disastrous swings of the 1919-21, 1930-33, and 1937-38 variety. This we believe our plan will accomplish. The critique admits "the self-correcting price tendencies" of the plan but intimates that such tendencies would be delayed "until after a considerable maladjustment has taken place." I fail to find anything said to explain why such a delay should occur. (The reserve mechanism, like the fixed price of gold, does not correct wide fluctuations in the value of the unit; it prevents them.)

In a footnote the authors suggest that the needed degree of price stability could be arrived at more quickly and efficiently by the use of other devices such as taxation and fiscal policy. This is similar to their claim that such measures will afford a better stimulus to depressed business, and, like the other, it is not substantiated by facts or argument.²

4. We claim that commodity-reserve currency will be especially sound money, since it would be backed by and convertible into useful goods.

The critique does not mention this claim

² Other critics of our proposal have asserted that it is better to stabilize individual commodities which need help than to stabilize the unit. Since the critique does not make this point—but rather implies the contrary—I shall not answer it here.

specifically, nor is it challenged indirectly, except for the criticism that the emergency use of the reserve would destroy the protection which a monetary reserve should supply. This objection has been answered above.

5. We claim that the plan will assist in the settlement of international balances due us by permitting other countries to send us commodity units as an alternative to gold. The critique does not deny that international repayments may be facilitated by the plan (p. 590), but it raises an array of objections and "disconcerting questions" in this field, viz:

a) International commodity-reserve currency will not produce the gold-standard type of automaticity. Answer: Agreed. This was not claimed. If possible, the international gold standard should be restored, in which case commodity-reserve currency should help its operations. If that is not feasible, the fault lies with the gold standard. We should then have to get along with controlled exchanges, as we have been doing.

b) We might not be able to trade some of our redundant gold for commodity units (as I have suggested), because other nations might refuse to accept gold at a reasonable price. Answer: If so, that would again be the fault of gold. It would demonstrate the superior value of commodity currency over gold currency. Our plan does not depend in any sense on the feasibility of such exchanges.

c) The critique objects to a suggestion of ours that it would be possible to limit the inflow of commodity units by raising tariffs. "Is it likely that the monetary authority will be given the requisite degree of control over tariffs?" Answer: We propose no such monetary authority as the critique seems to envisage. It is not essential to our plan that the inflow of commodity units be controlled, and I should favor accepting all we can get. I merely pointed out that, *if Congress so desired*, Congress would have this means of control available.

d) The critique asks further: "To what

extent will it be necessary to subordinate our economic foreign policy to the objectives of the plan?" Answer: To no extent. The three authors have not stated why such subjection should be necessary. They claim, too, that questions of political feasibility will interfere with our accepting commodity units in settlement of foreign debts, but they do not say in what manner. Payments in commodity units need involve no more political questions than payments in gold.

6. We assert that the plan will go far to solve the farm problem by providing an unlimited market for balanced agricultural production. The solution is superior to that of the A.A.A., because it involves no compulsory curtailment, regimentation, non-recourse loans, or subsidies.

This claim the critique appears to grant (p. 591). But it points out that there would be strong political opposition to replacing present farm legislation by our proposal. Answer: This observation is probably true, even though the economic interests of the farmer are likely to be better served by our provision for balanced abundance than by the A.A.A.'s emphasis on scarcity. Properly speaking, however, this is a criticism not of the plan but of those who reject it.

The critique adds that even if the plan were adopted, there would still be political price-fixing of farm commodities, and thus other prices would be disturbed. Answer: If Congress merely held up the price of certain otherwise weak commodities, the result would be to diminish the price advances of other components. This might be inadvisable, but it could scarcely be troublesome. The price of other products would be forced down only if Congress went as far as to push farm prices well *above* their base-period average. Such extreme legislation has not happened before; if there were danger of it, it might be well to have other groups of producers on hand to fight it bitterly as a completely unjustified attack upon their own price structure. One advantage of the interrelationship of prices created by the commodity unit is that an attempt to favor

one commodity unduly will promptly and properly create violent opposition by the producers of all the others.

7. On the less dynamic side we assert that our proposal will be self-financing, self-liquidating, and automatic and that the only cost involved will be the relatively small expense of storage. Of these points the critique questions only the claim of automatic action. This is invalidated, it says, by the following nonautomatic provisions: (a) periodic revision of the unit, (b) possible substitution of futures for spot commodities, (c) emergency withdrawal of reserve commodities, (d) use of credit control, (e) use of tariffs.

Answers: (a) Revisions of the unit can be made in accordance with a specific technique laid down in the initial legislation (*Storage and Stability*,³ pp. 281-82); (b) substitutions of futures for spots would also follow a fixed rule and would take place whenever a cash profit could be made thereby; (c) emergency withdrawals are an optional (though to my mind a valuable) provision; (d) credit control has no organic relationship to our proposal; if it is necessary, that necessity has no bearing on the automatic nature of the commodity-currency mechanism; (e) changes in tariffs have been mentioned only as a reminder of the present power of Congress to deal with imports.

SUMMARY

The general conclusions of the critique (which are highly unfavorable) can be valid only to the extent that the individual criticisms are sound. A brief comment on these conclusions may be helpful in the final ap-

praisal. The authors fear that our proposal "would multiply the vices and compromise the virtues of the gold standard." A devastating remark; yet, on the next page they acknowledge that traditional monetary policy (i.e., the gold standard) is inadequate to meet depressions, and they concede that the commodity-reserve mechanism will provide an automatic, self-supporting depression insurance.

A main factor in any evaluation is the relative importance of favorable and adverse elements. The critique admits, in terms, six major advantages of the plan, viz: It will (a) hold down price fluctuations in the reserve commodities (p. 586); (b) "moderate somewhat" a decline in the general price level (p. 586); (c) facilitate repayment of international debts (p. 590); (d) meet the principal criticisms leveled at the farm program (p. 591); (e) provide an automatic stimulus to raw-materials production in depressions (p. 594); and (f) create a stock of basic goods available for emergencies or other uses (p. 585).

Against these benefits it objects that the price stabilization will not be all-pervasive, that the automatic action is not 100 per cent in every sense, that the reserve commodities may be used up in an emergency, etc. Is it not true that all these objections—whatever their accuracy—are of secondary magnitude compared with the primary significance of the benefits which the critics admit? The balance here is not to be struck by an epigram or by vague references to "a troublesome host of new problems." The present writer hopes that this reply will enable the reader to view the merits and shortcomings of the proposal in a sounder perspective than the critique displayed.

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³ Benjamin Graham, *Storage and Stability* (New York, 1937).